Power pricing has always been a tricky issue in India. "High-end customers pay for the loss of payments from low-end consumers. Industries pay for the loss. There is cross-subsidisation," says an official at a private discom in Delhi. "We have to do it, otherwise costs will be unmanageable. Finances come under tremendous pressure because of surges in input costs." Then there is the free power. Punjab, Tamil Nadu, Andhra Pradesh and Telangana, for instance, all offer free power to farmers. These subsidies are partially paid for by other consumers paying higher-than-grid parity rates for electricity. In Andhra Pradesh, state discoms purchase power at about Rs 7 per unit and sell it to commercial consumers at Rs 12 per unit. This is a template followed across the country. In India, there are over 26 discoms that charge consumers more than the grid parity rate of Rs 4.5 per kilowatt-hour (kWh).

Yet, most still lose money on the deal. In Andhra Pradesh, discoms lose about Rs 1.45 per unit of electricity supplied to inefficiencies, which translates into over Rs 8,000 crore of losses every year. The proposed amendment to the Electricity Act, 2003, which Parliament is yet to clear, provided for direct benefit transfer of subsidies to beneficiary accounts at discoms. Several farm unions, especially from the north Indian states, had revolted against this provision. While clarifying that "there is no question of farmers paying bills of thousands of rupees", a top power ministry official also noted that state governments will have to make provisions for subsidies to be paid upfront: "The benefit should go directly to [the intended beneficiaries], not towards subsidising the inefficiencies of discoms." The next big challenge is to ensure every farm has a metered connection.

Discom revenues suffer, of course, but so do those of gencos. As of February this year, discoms owed Rs 1.08 lakh crore as outstanding dues to various gencos. A state-wise breakup showed that the government owed a sizable chunk of these dues (see graphic, *Mounting Dues*). Meanwhile, over the years, state regulators were allowed to park their unpaid bills on discom balance-sheets as 'regulatory assets'. Today, they account for Rs 1.5 lakh crore out of the cumulative losses of the discoms of Rs 5.2 lakh crore. "The power sector in India is a victim of the politics of vote and load: you announce freebies while the discoms do not get money. Electricity tariffs have not changed in years," says Dubey. At the centre of all this is the fractious relationship between power and politics. Free power for several sections of India's population has been at the heart of many a political campaign over the years. While commercial entities need to pay Rs 10-12 per unit of electricity, residential tariff works out to Rs 2-8 per unit. Farmers either get it for free or up to Rs 3 per unit.

Without naming any specific state, former Union power secretary Anil Razdan holds lax regulators responsible for India's power woes. "Most state regulatory commissions have not been able to implement the key provisions of [earlier reforms]," he says. Over the past two decades, he adds, regulators have been unable to implement tariffs that match electricity purchase costs, leaving discom balance-sheets perpetually in the red. He also feels that regulators need to ensure states pay their subsidy bills on time. As of March-end, pending state subsidy dues had crossed Rs 57,555 crore.

The 15th Finance Commission (FFC) had linked the release of the Revenue Deficit Grant or RDG for 14 states, with the list of reforms they had to undertake between 2020 and 2025. N.K. Singh, who headed the FFC, says, "Since there is no monitoring agency of RDG, there is no check on fulfilment of these commitments."

BREAKING THE POWER GRIDLOCK

While a well-oiled coordination plan involving all agencies can perhaps resolve the immediate crisis, long-term reform can be the only permanent solution to the festering sore the power sector has become in the country.

To resolve the current crisis, the regulator needs

CASE STUDY | BIHAR

"Running a diesel motor is just too costly"

MUSAFIR KUSHWAHA, 65 | *Farmer,* Singhaul village, Nawada

May 3 was the first time in years when Musafir Kushwaha used a diesel pump to irrigate his two-acre farm. There had been no power since 10 am and by evening, Kushwaha had no choice but to fall back on this expensive option. "One hour of running a diesel power motor cost me about one litre of fuel," he says. It is just too costly for Kushwaha, who grows seasonal vegetables.

The power situation in Kushwaha's village has worsened in the past month. "We used to have 18 hours of